

Eniac's Discount Strategy

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Introduction

Objective:

- Are discounts associated with increased orders and revenue?

Head of marketing:

- Discounts improve customer acquisition, satisfaction and retention

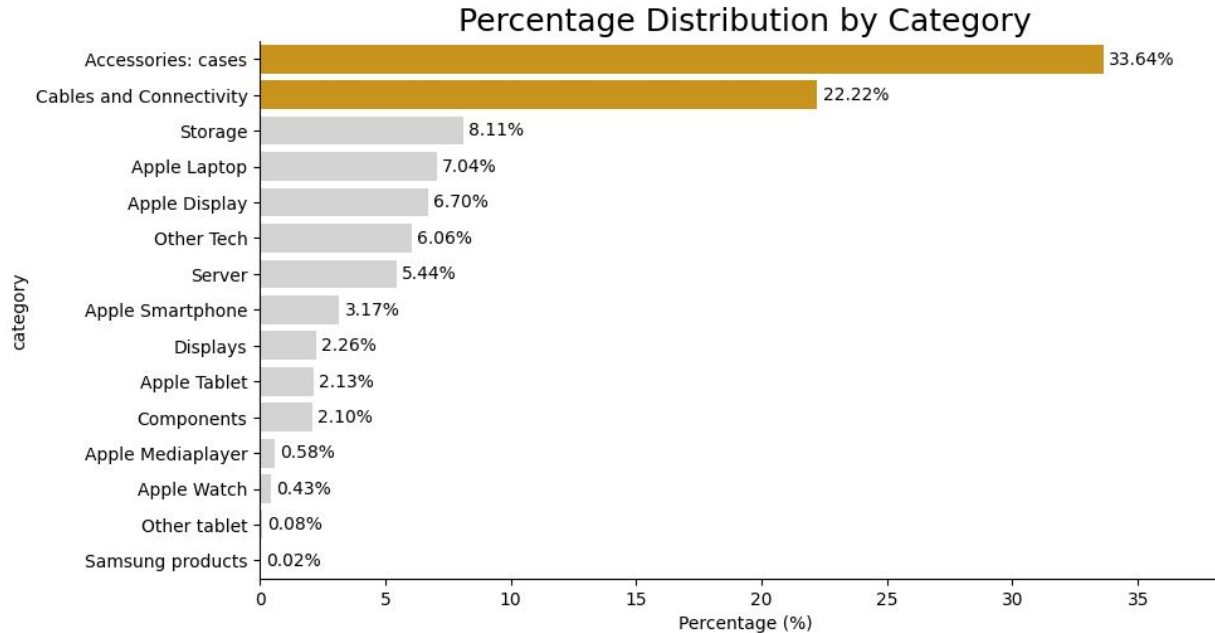
Investors have some legitimate concerns:

- Aggressive discounts are risky
- Latest results show increased orders but decrease in revenue

Scope of analysis:

- Orders and discounts across product categories 2017-2018

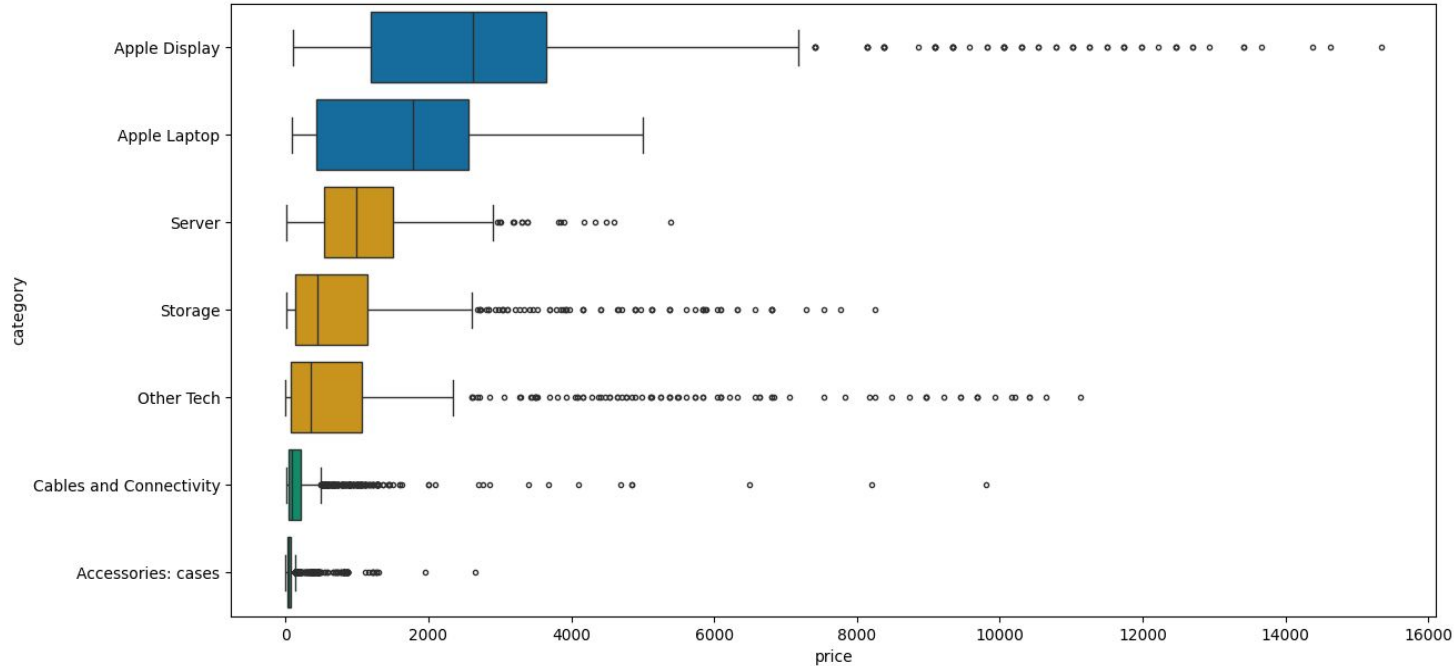
Products Distribution by Category



15 categories have been identified for analysis. Most products belong to **2 categories**, which account for **56%** of the Eniac's portfolio, namely:

- **Accessories: cases (34%)**
- **Cables and Connectivity (22%)**

Price Distribution of Products by Category*

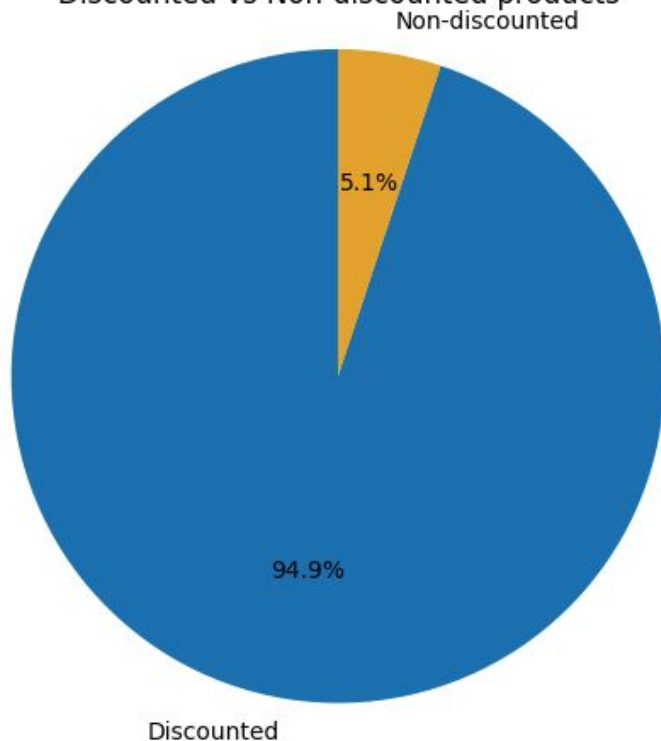


* Categories with over 500 items have been included, small items - excluded.

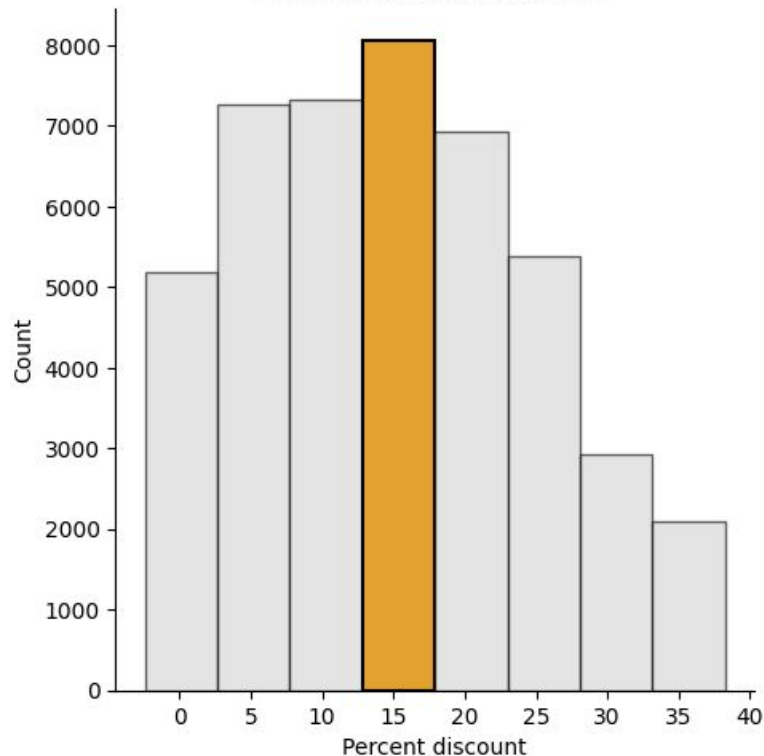
- Apple Displays and Laptops dominate the high-price segment.
- Accessories and Cables operate in a low-price, high-volume space.
- Several categories show strong price distribution, increasing discount risk.

Discounting Policy Across Products

Discounted vs Non-discounted products

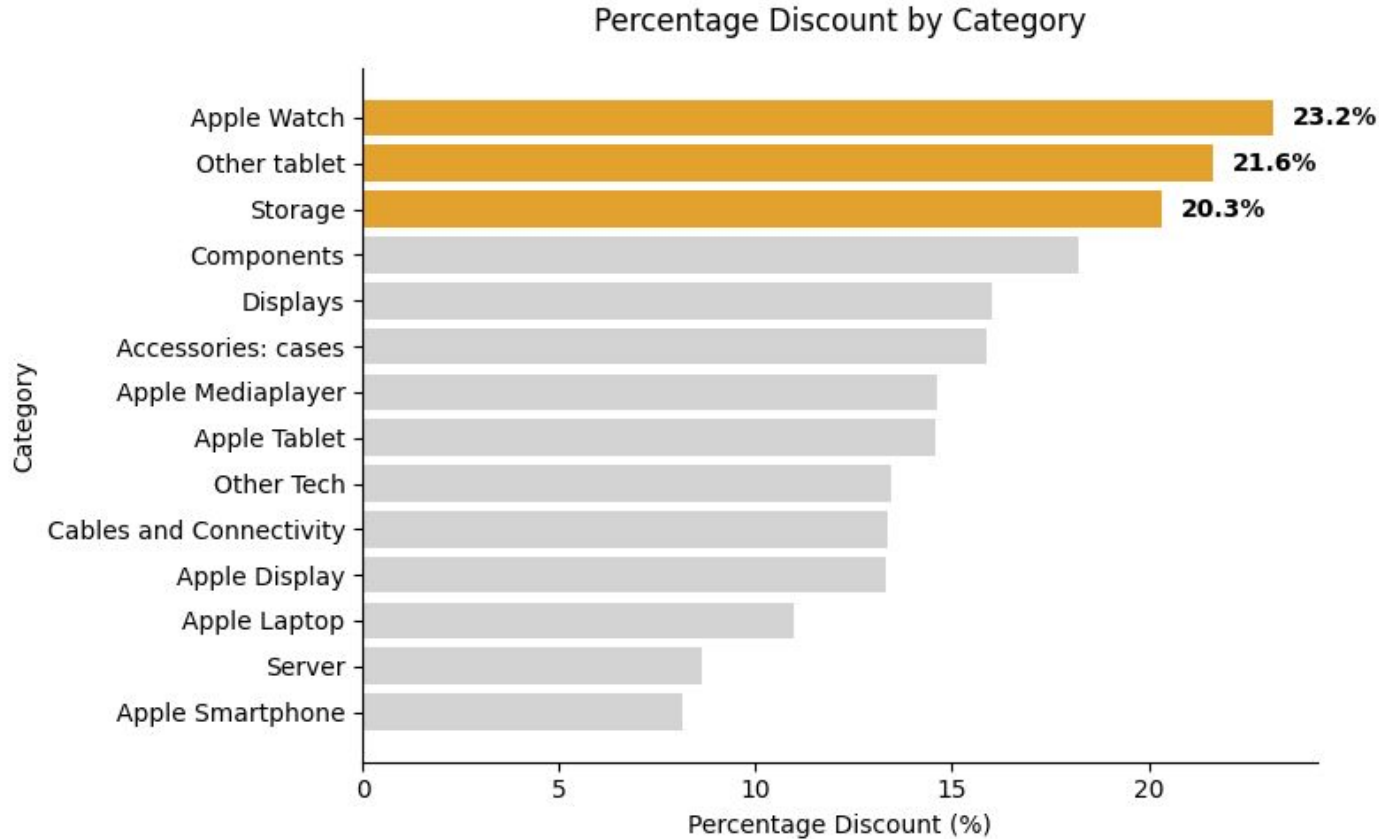


Percent discount overview



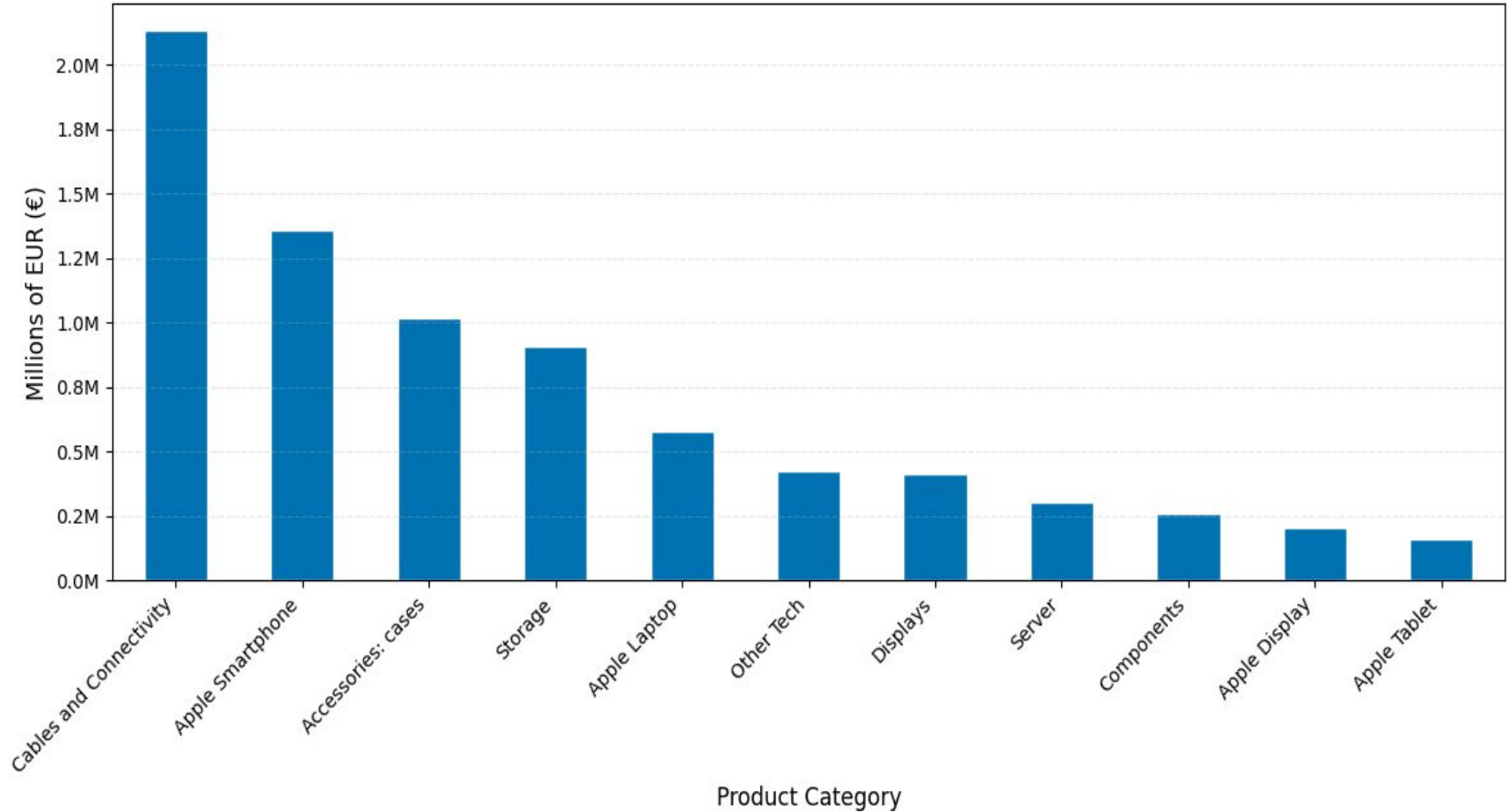
Most products are discounted (~42k vs 2k)
Discounts cluster strongly around 15%

Percent discount per product category

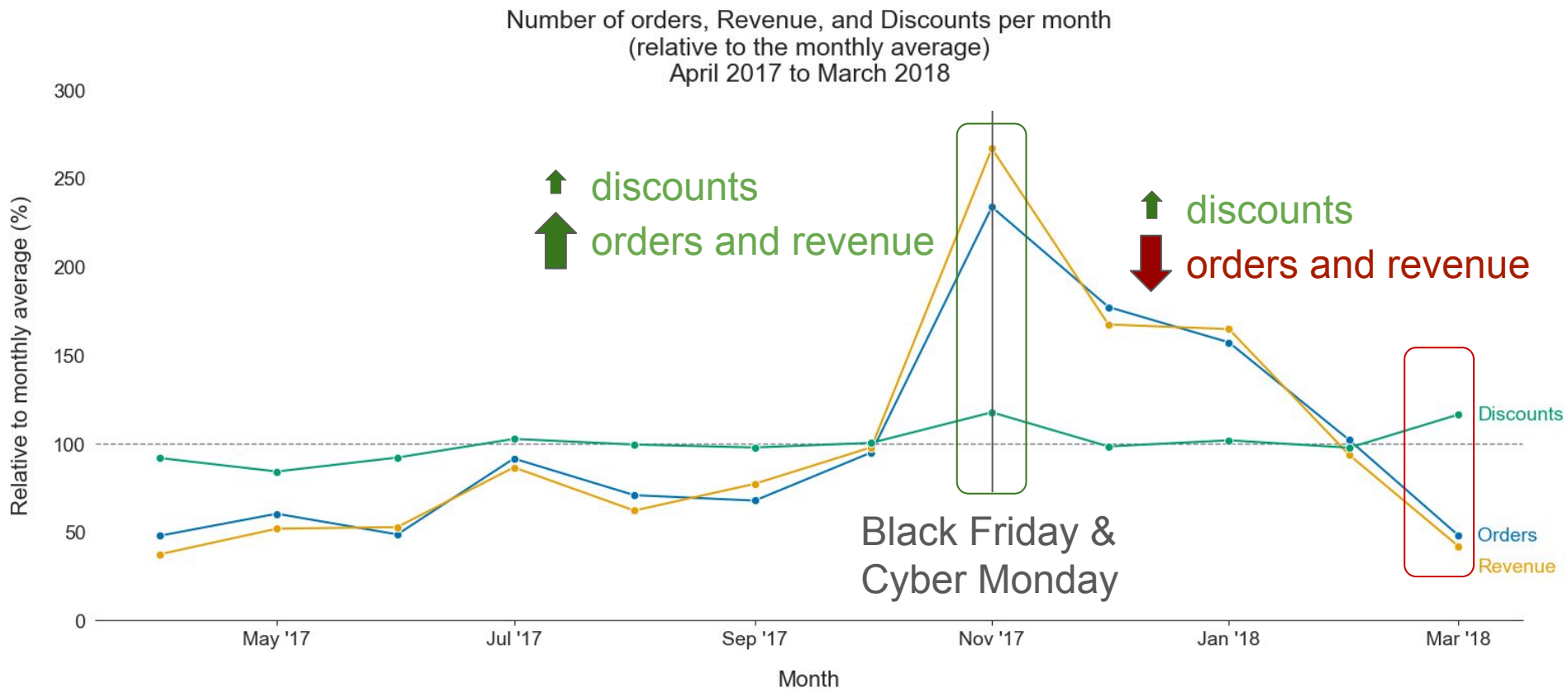


Highest discounted categories ranges between 20 to 23%

Revenue across Products (Major Categories)



Little evidence that aggressive discounts drive more sales



Recommendation

- Avoid aggressive discounts
(especially on categories with large price distribution + low volume share)
- Explicit testing is required to understand how discounts drive sales & revenue
(as well as customer satisfaction, acquisition, and retention)